in the case of a joint stock company, the audit is a statutory requirement under the Companies Act, 2013. Therefore, provisions regarding appointment of a company auditor, his qualifications, disqualifications, powers, duties etc., are also governed by the Act.

As per the Indian Companies Act, 2013, it is compulsory for every company whether public or private limited, to get its accounts audited by a qualified auditor. Therefore, it is essential that the auditor of a company should be familiar with the provisions of the Companies Act relating to his appointment, duties and rights.

9.2 Qualifications of a Company Auditor [Sec.141 (1) & (2)]

Section 141 (1) & (2) of the Companies Act, 2013 prescribed the following eligibility and qualifications of auditor which are as follows:

1. A person, who is a chartered accountant and holds a certificate of practice, shall be qualified to be appointed as an auditor of a company.
2. The partners who are chartered accountants of a firm alone shall be authorized to act and sign on behalf of the firm.

9.3 Disqualifications of a Company Auditor [Sec.141 (3)]

The following persons shall not be eligible for appointment as an auditor of a company.

1. A body corporate, except Limited Liability Partnership.
2. An officer or employee of the company
3. A person who is a partner or an officier or employee of the company.
4. A person who is a relative or his partner of a company or holding or subsidiary company or associate company is disqualified in the following circumstances:
   a. When he is holding any security, or
   b. When he is indebted in excess of Rs.5,00,000, or
   c. When he is given a guarantee or provided any security in connection with indebtedness in excess of Rs.1,00,000.
5. A person or a firm has business relationship of such nature with a company or holding or subsidiary company or associate company.
6. A person whose relative is a director or is in employment of the company as director or key managerial personnel.
7. A person holding more than 20 company audit (20 company audit shall exclude one person company, small company, dormant company, private company with paid up capital less than Rs.100 Crore).
8. A person who has been convicted by a court of an offence involving fraud and a period of 10 years has not elapsed from the date of such conviction.
9. Any person who is engaged in consulting and specialized services.

Chapter_09.indd 128 12/23/2019 3:17:37 PM